Supply & demand shifts — construct practice

1.3.2.3 The market · Unit 1 · Mr. Akram — Akademy

For every question, draw a complete supply and demand diagram: label the axes, the original curves, the shifted curve, and the original and new equilibrium. Each is worth 4 marks. Tip: use the interactive diagram on the site to check each one.

1. Dubai's population keeps growing as people move for work — the market for rental apartments in Dubai.
2. The UAE Government gives solar-panel producers a subsidy per panel — the market for solar panels.
3. Tea and coffee are substitutes — the market for coffee after the price of tea rises.
4. Poor weather damages much of the West African cocoa harvest — the global market for cocoa.
5. Matcha drinks become highly fashionable on social media — the market for matcha drinks.
6. The government raises the indirect tax on high-sugar soft drinks — the market for those drinks.
7. Household incomes fall in a downturn; restaurant meals are a normal good — the market for restaurant meals.
8. A smartphone maker installs faster automated machinery — the market for smartphones.
9. A sportswear firm runs a major advertising campaign with famous athletes — the market for sports shoes.
10. Flour, electricity and wage costs rise for bakeries — the market for bread.
11. Interest rates fall, cutting mortgage costs — the market for newly built homes.

Answer key

Q	Curve & factor	Shift	Price	Quantity
1	Demand · population	Right	Rises	Rises
2	Supply · subsidy	Right	Falls	Rises
3	Demand · substitute price	Right	Rises	Rises
4	Supply · natural (weather)	Left	Rises	Falls
5	Demand · fashion/tastes	Right	Rises	Rises
6	Supply · indirect tax	Left	Rises	Falls
7	Demand · income (normal)	Left	Falls	Falls
8	Supply · technology	Right	Falls	Rises
9	Demand · advertising	Right	Rises	Rises
10	Supply · production costs	Left	Rises	Falls
11	Demand · interest rates	Right	Rises	Rises